INDUSTRY ANALYSIS & STRUCTURE

Session 4

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4. Industry Analysis

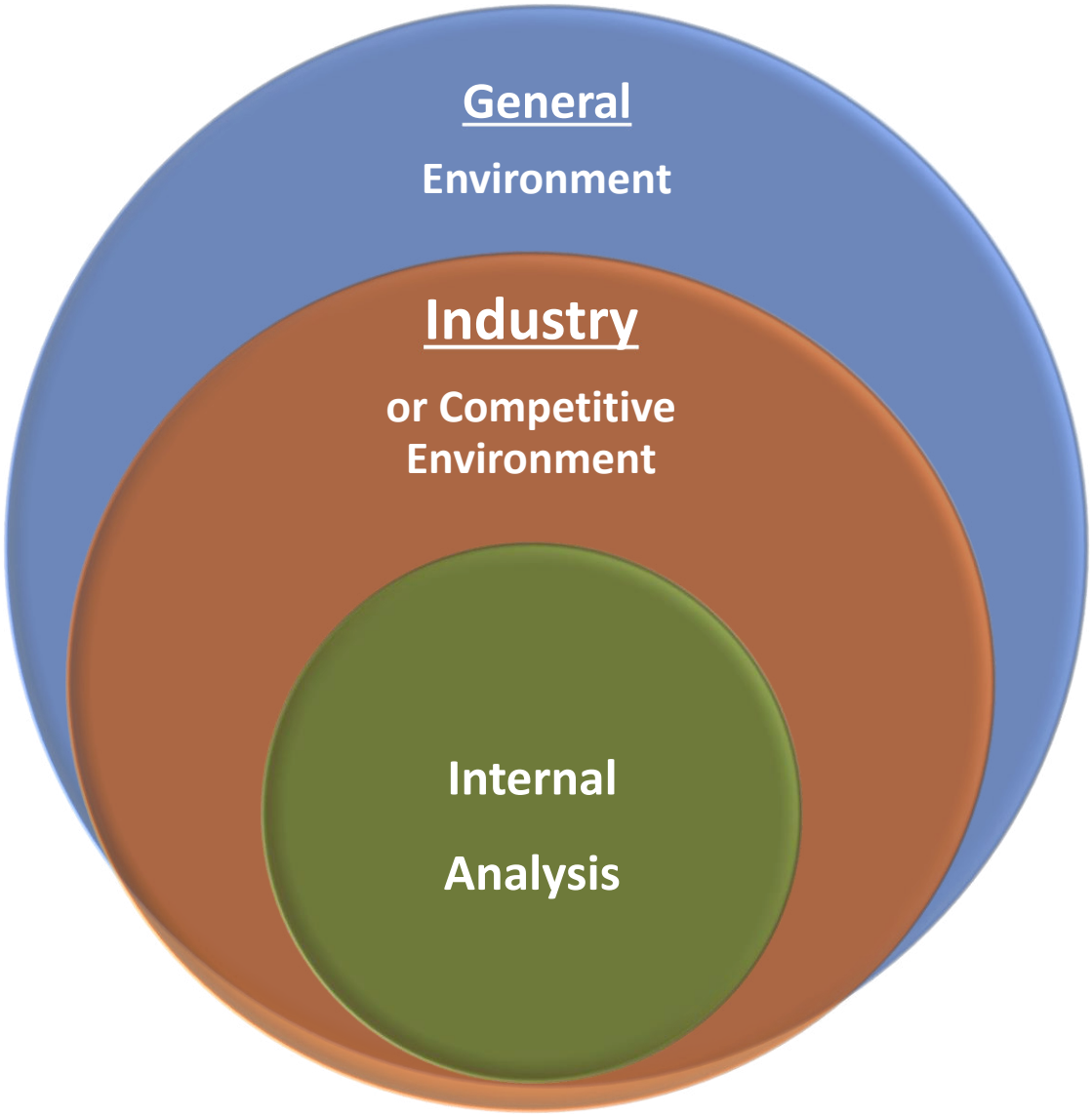
4.1. Environmental Analysis

4.2. Objectives of Industry Analysis

4.3. Key Success Factors

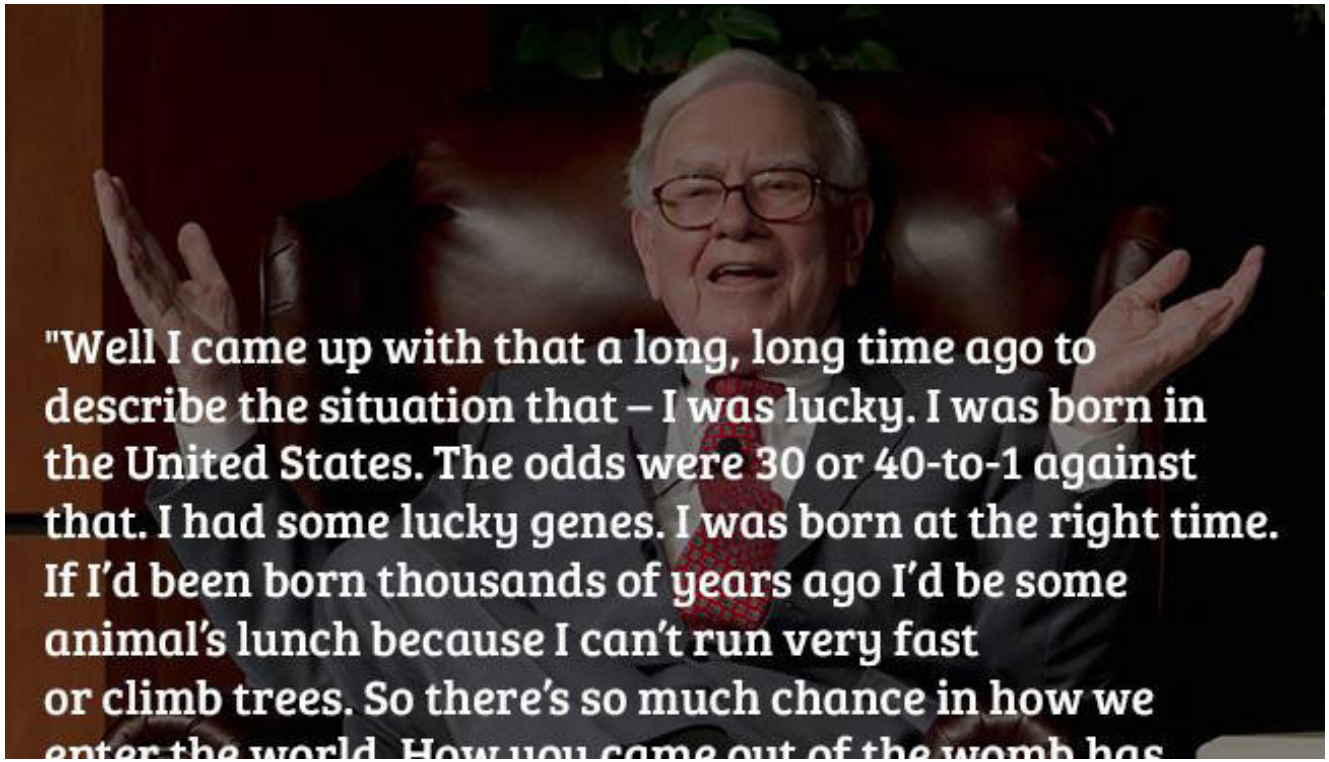
4.4. Porter´s Five Forces

4.5. Limitations of Industrial Analysis

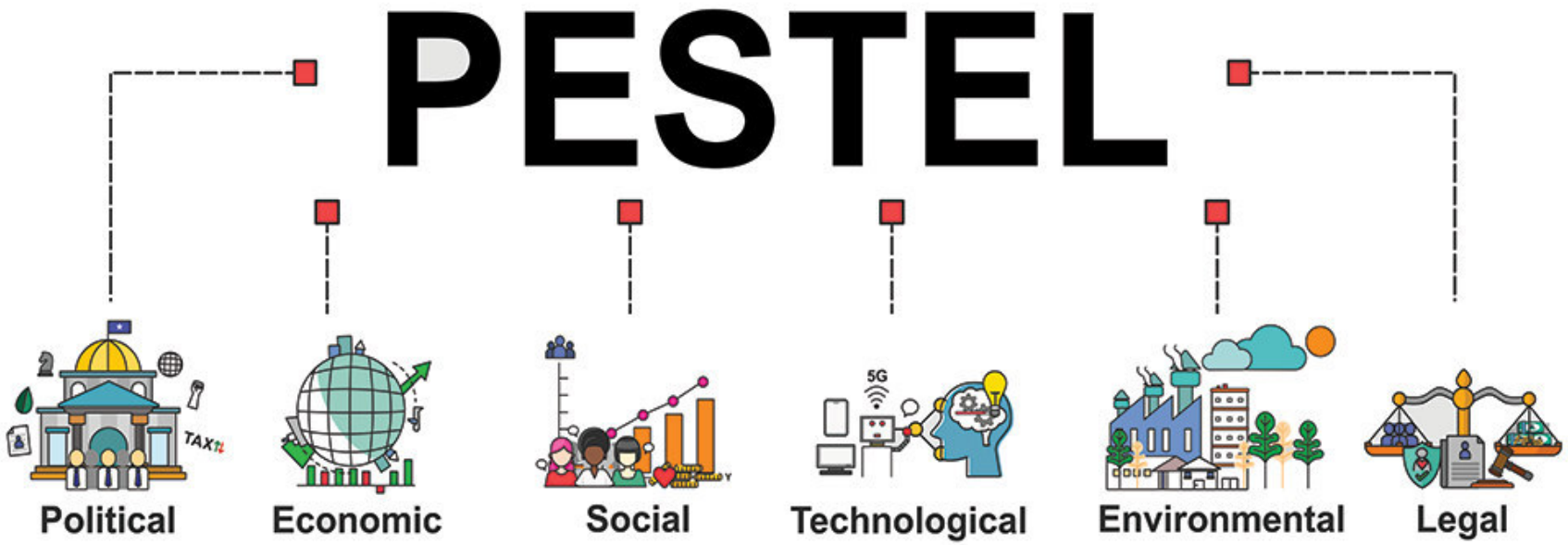

General
Environment
Industry
or Competitive
Environment
Internal
Analysis

Environment Analysis

Why some nations or environments succeed and others fail in international competition?



PESTEL ANALYSIS



PEST ANALYSIS

PEST Analysis considers the **political**, **economic**, **social** and **technological** factors that impacts a firm.

- **It is possible to compare different environments or different moments in time.**

	-10	-5	0	5	10
POLITICAL & LEGA Environment					
* Political (democracy, dictatorship, etc..)	x				
* Legislation and enforcement of it		x			
* Fiscal policy.			x		
* Etc…					
ECONOMICAL Environment					
* Unemployment rate, Inflation, etc.					x
* Capital markets efficiency				x	
* Etc…					
SOCIO-CULTURAL Environment					
* Values, culture, social equality			x		
* Laboral force, Union groups, etc..		x			
* Etc…					
TECHNOLOGICAL Environment					
* I+D+i policy.				x	
* Technological maturity					x
* Technological disponibility factors.				x	

PORTER´S DIAMOND

Explain why particular industries become competitive in particular locations or countries.



Porter's Diamond Theory - Documento ACCA Strategic Business Leader (SBL) (3m.)
https://www.youtube.com/watch?v=BDrlueAntjM

These four factors interact with each other to create conditions where innovation and improved competitiveness occurs.

PORTER´S DIAMOND

1. Factor Conditions

- Access to specialized factors that are rare and difficult to imitate by foreign competitors.
- human resources, physical resources, knowledge resources, infrastructure and capital resources.

Ex.: Software engineers in Silicon Valley.

2. *Strategy, Structure and Rivalry companies*

- Strategy and culture of the firms.
- The national competition is a source of competitive stimulus.

Ex. Selling a car in Germany or wine in Spain is hard. Too many competitors.

PORTER´S DIAMOND

3. Demand Conditions (specialized clients)

- The nations achieve competitive advantage in the sectors where domestic demand requires its companies innovate quickly and gain competitive advantage over their foreign rivals. It is important the volume of the demand, but more important the "specialized" nature of this demand by clients.

Ex.: Spanish customers are demanding on wine´s quality.

4. Related and supporting industries

- Presence of support sectors that provide key elements: economic, effective and preferred.

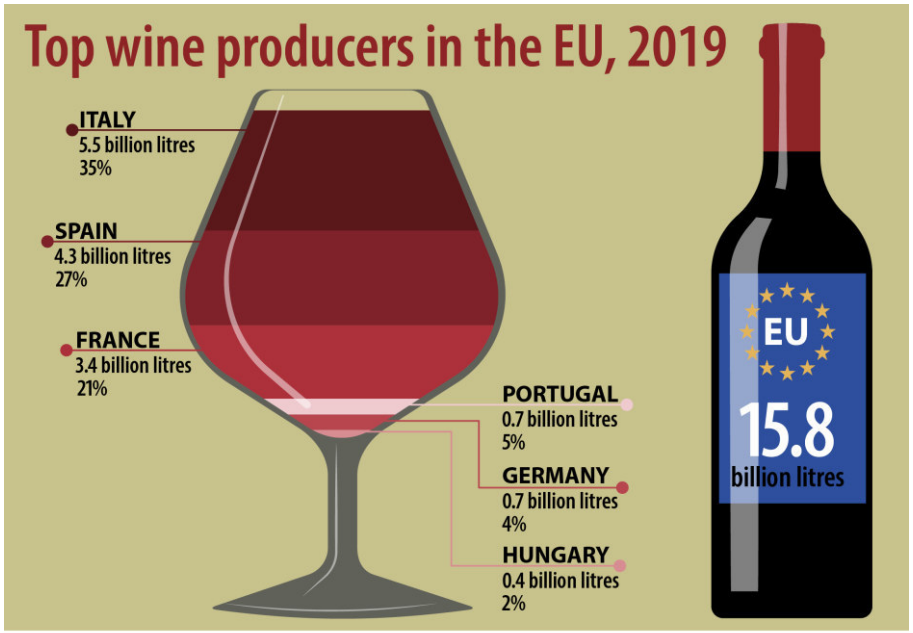
Ex. Car sector industry.

Car factories are surrounded by supplier industries, in some cases they are inside the car manufacturer installations.

Wine market – Example

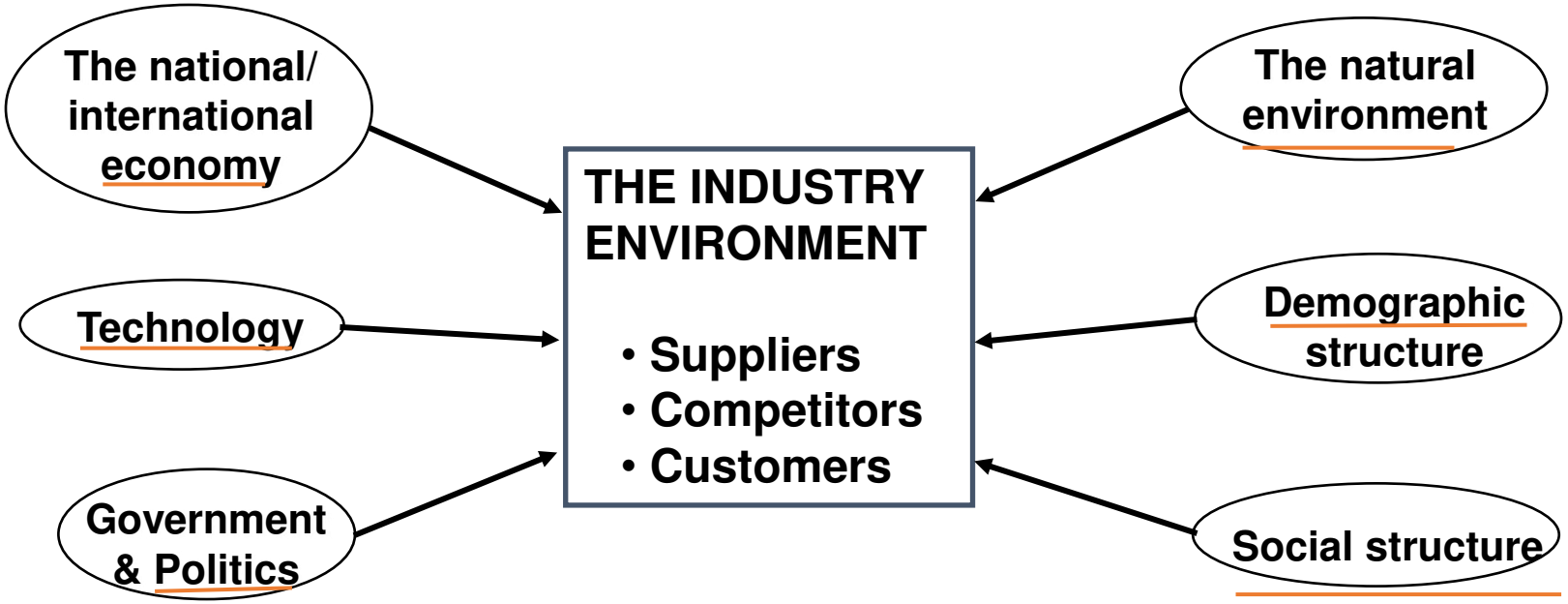
Spain, Italy, France, South Africa, Chile, Argentina or Southern California…

Wine industry. Porter's National Diamond Framework (5m.) (optional)
https://www.youtube.com/watch?v=cGiJNylYGZ8



FROM ENVIRONMENTAL ANALYSIS TO INDUSTRY ANALYSIS

At the Core of the Macro Environment is the Industry Environment



The Macro Environment impacts the firm through its effect on the Industry Environment

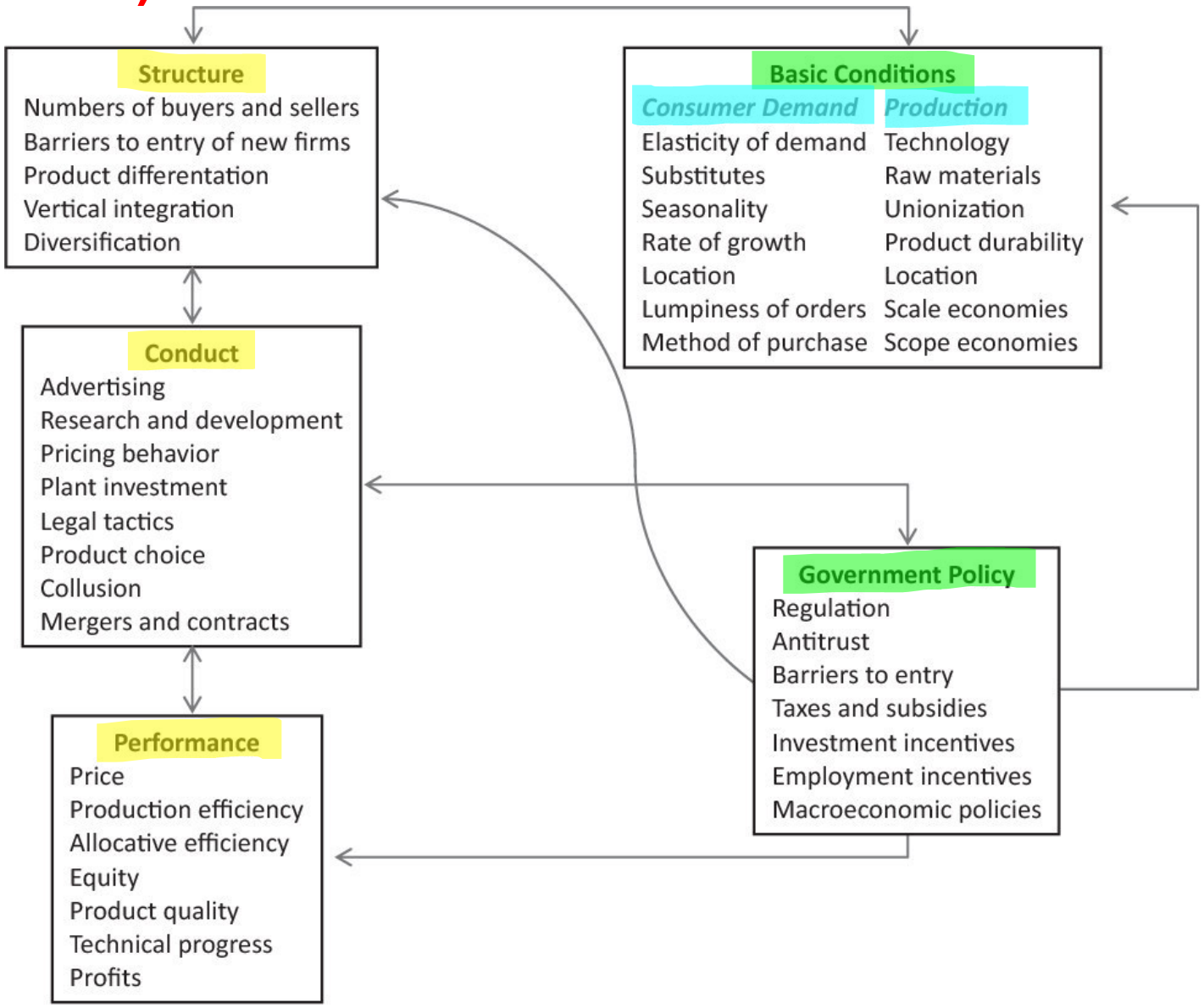
Industry Analysis

"What determines the level of profit in an industry?"

Median ROE (%), 2000-2010 for the US market

High profitability		Low Profitability	
Tobacco	33.5	Packaging and containers	10.2
Household and personal products	27.8	Automotive retailing and services	9.8
Pharmaceuticals	20.5	Food and drugs stores	9.6
Food consumer products	20.0	Insurance	9.1
Food services	19.9	Hotels, casinos, resorts	8.5
Medical products and equipment	18.5	Metals	8.2
Mining, crude oil production	16.3	Semiconductors and electronic components	7.7
Securities	15.9	Forest and paper products	7.3
Chemicals	15.7	Food production	5.2
Aerospace and defence	15.7	Telecommunications	5.8
Construction and farm equipment	14.5	Motor vehicles and parts	4.4
IT services	14.1	Airlines	-11.3

Structure–Conduct–Performance (SCP Model)



Structure
Pe

structure–conduct–performance (SCP Model)

The **structure–conduct–performance (SCP) Model**, is a causal theoretical explanation for firm performance through economic conduct. This model has had direct influence on subsequent in models such as Porter´s five forces analysis.

The **Environment** (PEST) has a direct impact on the **market structure**.

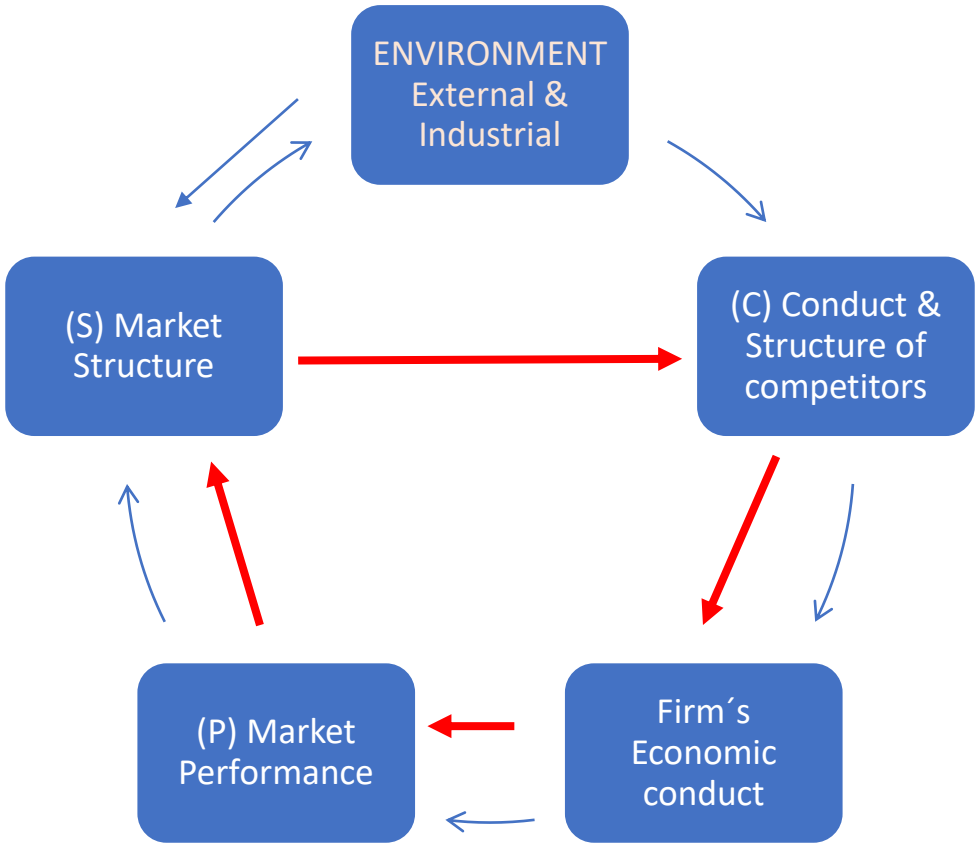
The **market structure** then has a direct influence on the **firm's economic conduct**, which in turn **affects its market performance**.

Also, Feedback effects occur such that **market performance** may impact **conduct** and **structure.**

Also, **conduct** may affect the **market structure**.

Additionally, **external factors** such as legal or political interventions **affect the market** framework and, by extension, the **structure**, **conduct** and **performance** of the market.

structure–conduct–performance (SCP Model)



The Spectrum of Industry Structures

	Perfect Competition	*Oligopoly*	*Duopoly*	*Monopoly*
Concentration	Many firms	A few firms	Two firms	One firm
Entry and Exit Barriers	No barriers	Significant barriers		High barriers
Product Differentiation	Homogeneous Product	Potential for product differentiation		
Information availability	Perfect Information	Imperfect availability of information		

The Determinants of Industry Profitability

***3 key influences*:**

1. **The <u>value proposition</u> of the product to customers.**
   Ex. Pharma

2. **The <u>intensity of competition</u>** Ex. Comercial Banks

3. **Relative <u>bargaining power</u> at different stages of the value chain (supplier & customers)**

   Ex. BME (Spanish Stock Exchange)

Key success factors → Are those important elements required for a company to compete in its target markets.

What does my customers value?

- Demand Analysis
  - What does my customers value?
  - who are my customers?

How do I survive to competition?

- What are the dimensions of competition?
  Price, service, quality, etc…
- How can we beat competition?



KEY SUCESS FACTORS

e.g.: Which are the key success factor of a tree in the Amazonia?

Which are the key success factor of McDonalds?

How Does McDonald's Became The King Of Fast Food Industry | McDonald's Business Strategy Analysis (5 mts.)
https://www.youtube.com/watch?v=71PzHZvBoXs



Which are the KEY SUCESS FACTORS of McDonald´s?

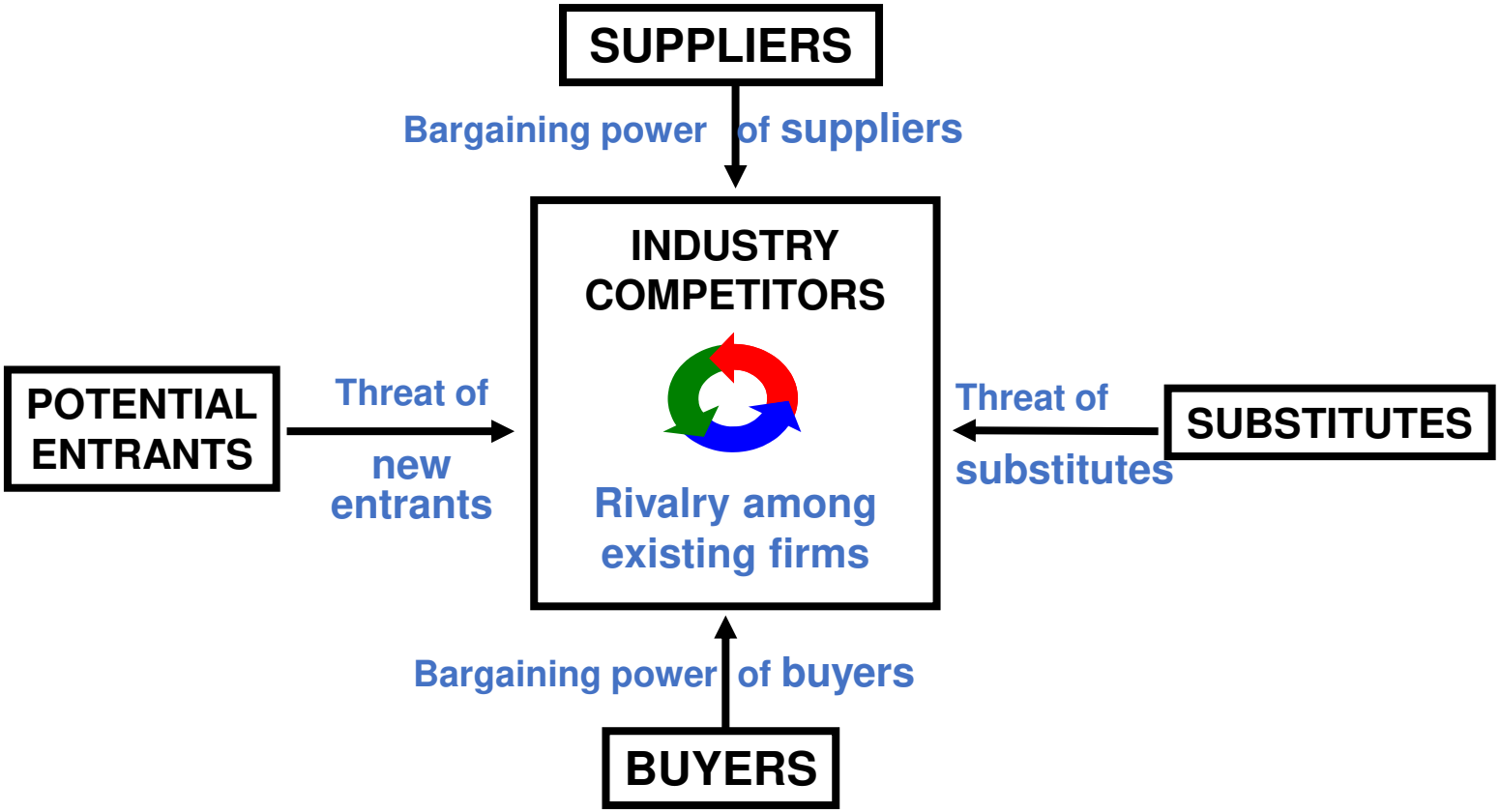
	WHAT DO CUSTOMERS WANT?	HOW FIRMS SURVIVE COMPETITION?	KEY SUCCESS FACTORS
Steel	• Low price • Product consistency • Reliability of supply • Specific technical specifications for special steels	• Strong price competition and cyclical demand require low costs and financial strength	• Cost efficiency requires either large plants in low-cost locations, or hi-tech, flexible, mini-mills close to customers • Quality and service differentiation
Fashion clothing	• Demand segmented by garment type, style, quality, color • Price premium for brand, style, exclusivity, and quality • Mass market highly price sensitive	• Intensely competitive due to low entry barriers, low seller concentration, and strong retail buying power • Differentiation can yield substantial price premium, but imitation rapid	• Combining differentiation with low-costs • Key differentiation variables: design, speedy to fashion trends, brand reputation, quality • Cost efficiency requires low labor costs
Supermarket	• Low prices • Convenient location • Wide product range adapted to local tastes • Fresh produce, good service, pleasant ambience, easy parking	• Markets localized • Intensity of price competition depends on number and proximity of competitors • Bargaining power essential to low input costs	• Low-costs require operational efficiency, efficient supply chain, buying power, low wage costs. • Differentiation requires wide product range (hence, large stores), convenient location, easy parking

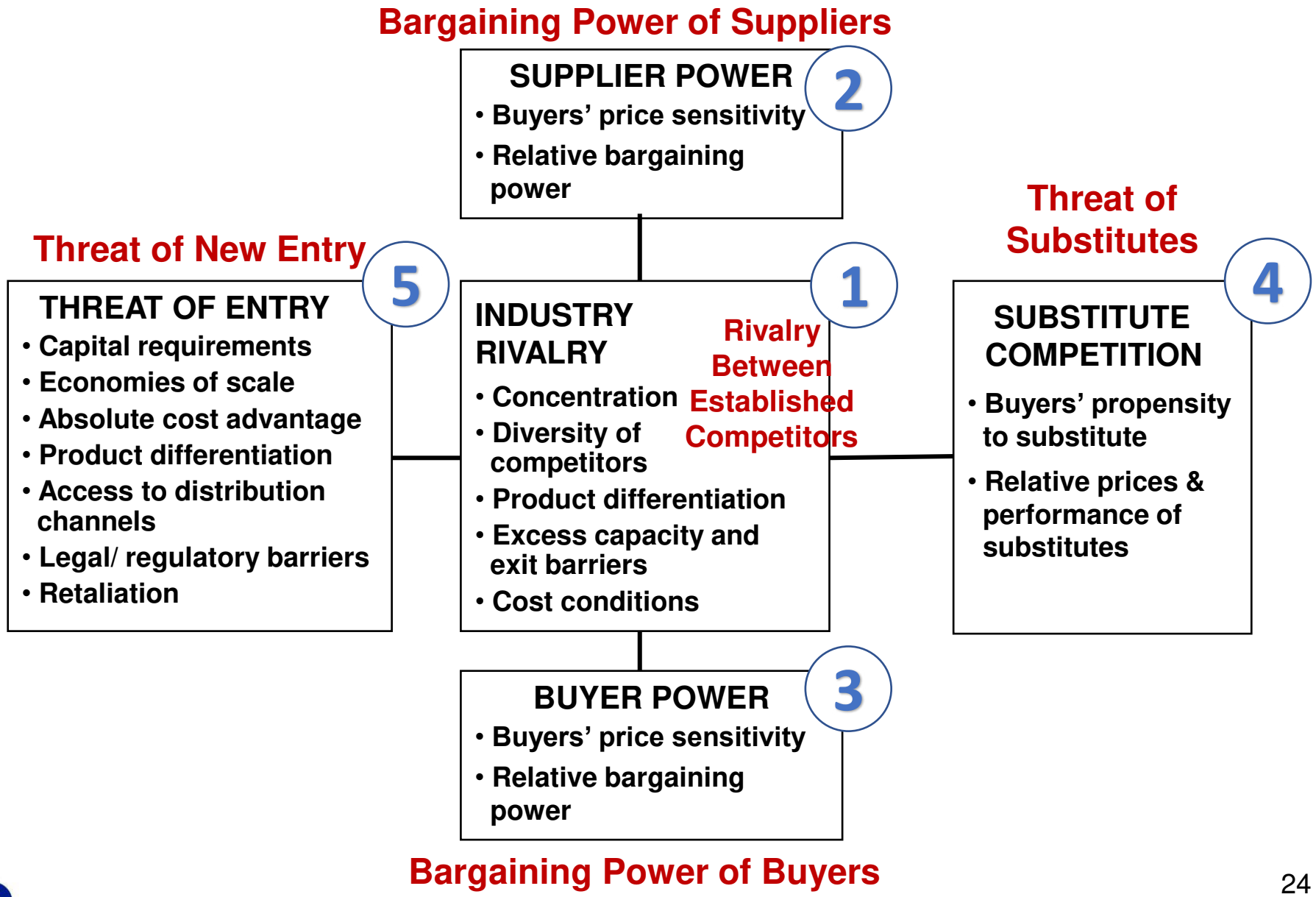
The Explainer: The 5 Forces That Make Companies Successful (2m.)

https://www.youtube.com/watch?v=XCWHSeDU-zk

Porter's Five Forces of Competition Framework

This forces will determine the profitability of the industry




Bargaining Power of Suppliers
SUPPLIER POWER
• Buyers' price sensitivity
• Relative bargaining power
2
Threat of New Entry
5
THREAT OF ENTRY
• Capital requirements
• Economies of scale
• Absolute cost advantage
• Product differentiation
• Access to distribution channels
• Legal/ regulatory barriers
• Retaliation
1
INDUSTRY RIVALRY
Rivalry Between Established Competitors
• Concentration
• Diversity of competitors
• Product differentiation
• Excess capacity and exit barriers
• Cost conditions
Threat of Substitutes
4
SUBSTITUTE COMPETITION
• Buyers' propensity to substitute
• Relative prices & performance of substitutes
BUYER POWER
3
• Buyers' price sensitivity
• Relative bargaining power
Bargaining Power of Buyers

1 Rivalry Between Established Competitors

Factors which contribute to increase rivalry among competitors

1. **Concentration**. How many companies dominate the sector?
2. **Diversity of competitors**: Origin, costs structure, strategies, markets, etc.
   - Existence of business groups or alliances
3. **Product Differentiation**
4. **Cost Conditions**
   - High fixed costs vs. variable costs
   - Scale Economies
5. **Demand growth** and **Overcapacity**.
6. **Barriers to exit**:

The costs for a company to exit the market:

- Reduced liquidation value.
- High cost industrial conversion.
- Emotional or personal barriers.
- Legal / concessional restrictions.

"When you got nothing…., you got nothing to lose"

Forms of Exit:

- Firm go bankruptcy (*e.g., Air Berlin*)
- Firm discontinues a product (*e.g., Sega left the video game hardware*)
- Firm leaves a particular geographic market segment (*e.g., Peugeot left the U. S. market*)

1 Concentration.

$$\text{Unit Market Share (\%)} = \frac{\text{Unit Sales of the company (\#)}}{\text{Total Market Unit Sales (\#)}}$$

$$\text{Revenue Market Share (\%)} = \frac{\text{Sales Revenue of the company (₹)}}{\text{Total Market Revenue (₹)}}$$

Rank	Firm	Sales	Market Share
1	OmniCola	460	23.00
2	Juice-Up	350	17.50
3	Super Soda	225	11.25
4	King Caffeine	190	9.50
5	Mega Cola	123	6.15
6	Hometown Brew	87	4.35
7	Frosty Grape	72	3.60
8	Cola-Riffic	63	3.15
9	Beverage 9	61	3.05
10	Beverage 10	57	2.85
11	Beverage 11	49	2.45
12	Beverage 12	44	2.20
13	Beverage 13	42	2.10
14	Beverage 14	40	2.00
15	Beverage 15	37	1.85
16	Beverage 16	30	1.50
17	Beverage 17	22	1.10
18	Beverage 18	17	0.85
19	Beverage 19	16	0.80
20	Beverage 20	15	0.75
	Total	**2000**	**100.00**

Measure of Concentration of competitors.

i. **Market/industry concentration** = number of firms competing in a market/industry

ii. **Concentration rate:**
- CR = Sum of market share of the 'x' largest firms
- e.g., C4 = market share of the 4 largest firms

iii. **Herfindahl index:**
- HHI = Sum of squares of all market shares *(in decimals form)*
- An *H* below 0.01 (or 100) indicates a highly competitive industry.
  An *H* below 0.15 (or 1,500) indicates a non highly concentrated industry.
  An *H* between 0.15 to 0.25 (or 1,500 to 2,500) indicates moderate concentration.
  An *H* above 0.25 (above 2,500) indicates high concentration

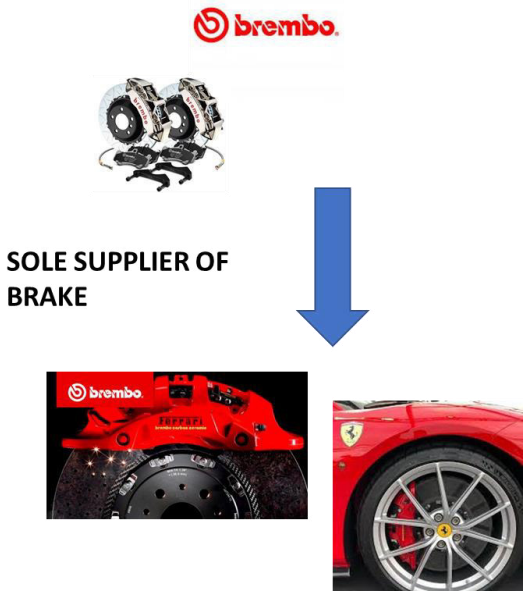
iv. **Normalized Herfindahl index:**
- spans 0-1 (the higher the index, the lower competition)
- It considers the Number of Firms in the market

2 Bargaining Power of Suppliers

How is the bargaining power of the suppliers? Who sets the rules for the price negotiations?

Some factors to analyze:

1. Market conditions.
2. Strategic importance of the product / service provided.
3. Cost of switching suppliers.
4. Conditions of other suppliers.
5. Concentration of suppliers.
6. Vendor differentiations.



3 Bargaining Power of Customers





How is the bargaining power of the Customer? Who sets the rules for the negotiation?

(analyze customer as a group & as an individual)

Some factors to analyze:

1. Price sensitivity of customers.
2. Concentration / dispersion of customers.
3. Purchase volume per customer.
4. Customer switching costs.
5. Backward integration. Possibility to work from the supplier or integrate it. Example: white trade marks.
6. Perfect / imperfect market. Level of customer information.
7. Product differentiation, Trademarks & Branding.
8. Existence of substitute products.

price sensitivity
- Importance of an item (as a proportion of costs, for the quality of a supplier's product or service)
- Product differentiation
- Competition among suppliers

bargaining power
- Size and concentration of suppliers
- Buyers' information
- Possibilities for forward integration



4 Threat of Substitutes

Substitutes goods or services that perform the same functions at a lower price and / or premium quality

How do you know if they are really a threat?

1. Relative Price and Price sensibility *(Replacing customer propensity)*
2. *Switching costs* to the substitute product or service.
3. *Some questions you may ask yourself?*
   - *Easy access to substitute products*
   - *Is the price competitive?*
   - *Is performance superior?*
   - *Does it satisfy better the needs of customers?*
   - *Is it expensive to change for the customer?*
   - *Others….*

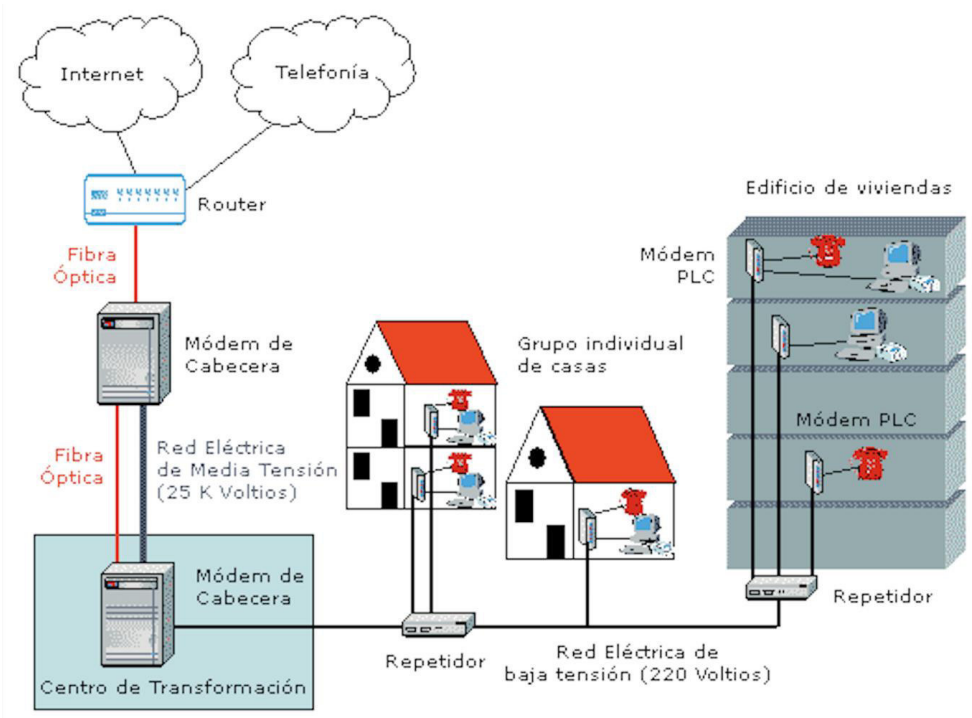






5 Threat of New Entry

- Forms of Entry
  - Entrant is a new firm.
  - Entrant is an established firm that is diversifying in a new market.
  - Entrant is an established firm that is entering a new geographical market.



5 Threat of New Entry

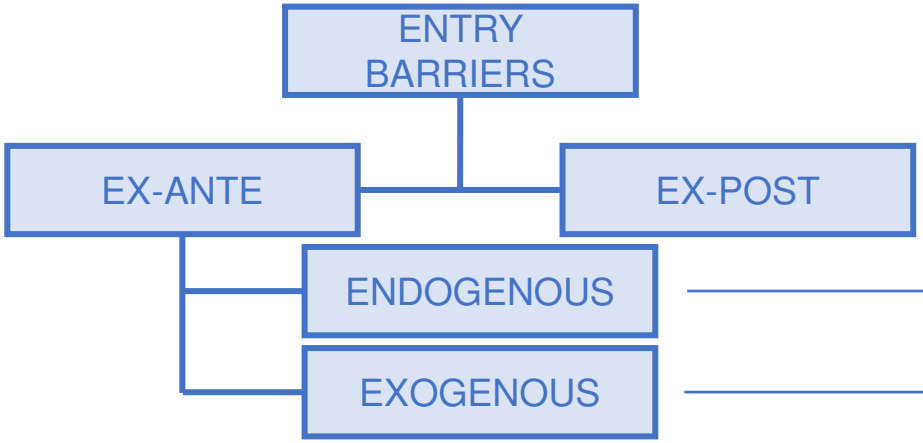
Entry barriers are factors that …

1) allow the incumbents to earn economic profit while
2) making it unprofitable for new firms to enter the industry.

1. Economics of scale: Cost advantages that enterprises obtain due to size.
2. Experience curve: Relationship between experience and efficiency.
3. Minimum capital requirements.
4. Costs of switching suppliers / captive customers
5. Access to critical inputs and distribution channels
6. Branding and Trademarks
7. Product Differentiation
8. Legal & Governmental barriers
9. Others…. Anything that makes it difficult to new entrants.

5 Threat of New Entry

- Classification of entry barriers





- **Exogenous or structural barriers**:
  - *Natural advantages*
  - E.g.: High set-up costs, economies of scale, network effects, legal barriers

- **Endogenous or strategic barriers**:
  - *Incumbents' actions to entry*
  - E.g.: Product differentiation, R&D and marketing expenses, access to distribution channels, tacit knowledge





- Ex-ante: Costs of entry
  - E.g.: Investments in R&D or marketing
- Ex-post: Incumbents' behaviors in response to new entrants
  - E.g.: Retaliation, aggressive pricing, control of distribution channels

1. Static perspective
   - Industries that are more dynamic and continuously changing are not well represented
2. No interaction among competitors
   - Actions and success of one industry player may depend on the actions of other players in the industry
   - Session 13 & 14: Game theory
3. Industry influence competition, but competition influence industry
   - Industry structure influences competition
   - But: Competition also influences industry structure
4. Difficulty of defining industry boundaries
   - Assumption that industry boundaries are given and well defined
   - Industry boundaries vary depending on our objectives
   - Session 6: Segmentation
5. Excessive emphasis on industry structure
   - Assumes that industry structure is the main determinant of firms' profits
   - Firms' success also depends on firm-level factors (e.g. resources and capabilities)
   - Session 7 & 8: Resource-based view

From Environmental Analysis to Industry Analysis:

- The industry is the core of a firm's external environment. Political, economic, social, and technological forces impact the firm through its industry :

Forecasting Industry Profitability

- Past profitability a poor indicator of future profitability.
- If we can forecast *changes in industry structure,* we can predict likely impact on *competition* and *profitability*.

Strategies to Improve Industry Profitability

- Influencing industry structure by individual or collective strategies
- Positioning the firm to shelter from the forces of competition

Defining Industry Boundaries

- Key criterion: *substitution*
- Industry definition depends upon the strategic issues being considered

Key Success Factors

- Gateway to the analysis of competitive advantage

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Next session: Case Session

- Videoconference
- Read the case about US Airlines in the Grant Textbook (Case 4)
- Be prepared to answer questions on the case in Session 5
- If you want to know more about American Airlines

Watch this video (15 mts) →

https://www.youtube.com/watch?v=W6sQBmEx-s4



- Focus on understanding the influence of one force of Porter's framework on the profitability in the airline industry
- Specific tasks will be assigned.

Identifying KSFs Through Modeling Profitability: The Airline Industry

Profitability = Yield x Load factor - Unit Cost

$$\text{Income} = \frac{\text{Income}}{\text{ASMs}} = \frac{\text{Revenue}}{\text{RPMs}} \times \frac{\text{RPMs}}{\text{ASMs}} - \text{Expenses}$$

- **Strength of competition on routes.**
- **Responsiveness to changing market conditions**
- **% business travelers.**
- **Achieving differentiation advantage**

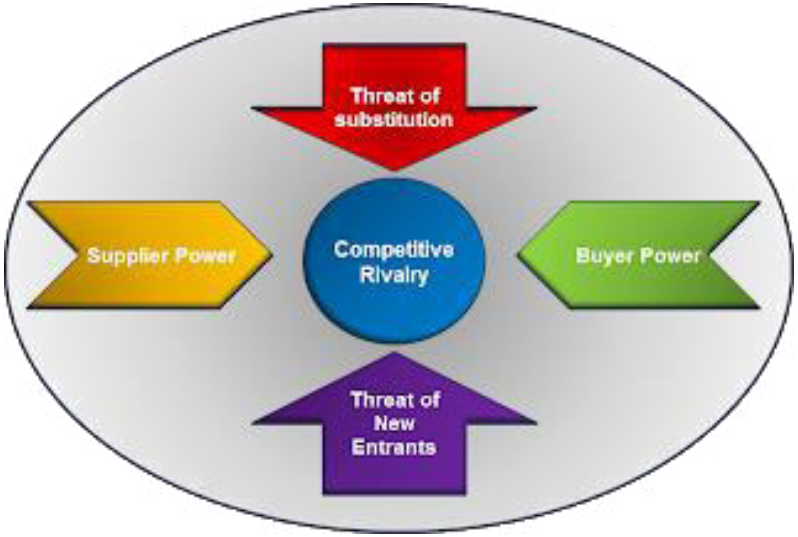
- **Price competitiveness.**
- **Efficiency of route planning.**
- **Flexibility and responsiveness.**
- **Customer loyalty.**
- **Meeting customer requirements.**

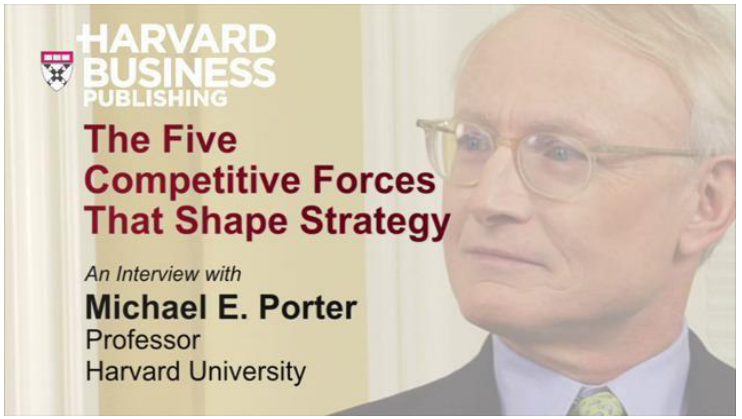
- **Wage rates.**
- **Fuel efficiency of planes.**
- **Employee productivity.**
- **Load factors.**
- **Administrative overhead.**

ASM = Available Seat Miles **RPM = Revenue Passenger Miles**

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Airline Industry (Michael Porter):
The Five Competitive Forces That Shape Strategy and airline industry (Michael Porter) 14 mts.
https://www.youtube.com/watch?v=mYF2_FBCvXw





Please try to answer this **4 questions** :

Question 1 → How did the industry perform in recent years?

Question 2 → To what extent can the industry's low average profitability during this period be attributed to the structure of the industry?

Question 3 → Which of Porter's five forces has had the biggest impact in depressing industry profitability?

Question 4 → How will industry profitability develop during the next five years? What would you do as manager of an airline?

Thanks a lot!

Any questions?

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